

Phase 1: 7-Step Idea Validation

AI-Powered Payslip & Budget Analyzer for NCR Filipino Professionals

Problem Idea: Filipino NCR professionals (ages 25–35) have no clear picture of where their money goes and are living paycheck to paycheck despite earning stable salaries.

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STEP 01 DEFINE THE PROBLEM

A real, specific pain point exists that people actively try to solve

Problem Statement

Filipino professionals aged 25–35 in Metro Manila earn stable monthly salaries — typically between ₱25,000 and ₱60,000 — yet consistently run out of money before the next payroll cycle, unable to explain where their income went. Despite the widespread availability of digital wallets and expense-tracking apps, most workers lack a structured understanding of their net take-home pay after mandatory deductions (SSS, PhilHealth, Pag-IBIG), let alone a plan for allocating what remains toward rent, remittances, savings, and discretionary spending.

The pain is chronic and recurring: it happens every 15th and 30th when payslips arrive but provide no actionable guidance, leaving professionals to react to their financial situation rather than manage it proactively. Today's workarounds — mental math, sporadic notes in GCash savings goals, or nothing at all — are insufficient and provide no system for building long-term financial health.

Key Characteristics

- Frequency: Twice monthly (every payroll cycle)
- Who has it: Salaried employees in BPO, tech, finance, government, and service industries in NCR
- Current coping: Ignoring it, reactive spending cuts, borrowing from colleagues before payday, informal utang
- Emotional weight: Shame, anxiety, and fatalism — common in r/adultingph and r/phinvest threads

Supporting Evidence: Only 25% of Filipino adults are financially literate, with Metro Manila averaging 35% — higher than rural areas but still critically low (Inquirol Philippines, 2025).

A 2020 PUP study on young Filipino professionals (20–35, Quezon City) found that only 35% understood effective money habits for financial stability (The Thrifty Pinay, 2024).

78% of Filipino workers live paycheck to paycheck despite rising wages (FinMerkado, 2025).

STEP 02 PROFILE THE TARGET CUSTOMER

A reachable, identifiable group of people has this problem badly enough to pay

Persona: 'The Stable-But-Strapped NCR Professional'

Name (composite): Juan / Maria, 27 years old

Location: Quezon City, Mandaluyong, or Pasig — renting a condo or apartment

Occupation: BPO agent, junior analyst, government employee, entry-level engineer

Monthly salary: ₱25,000–₱45,000 gross; ₱20,000–₱38,000 net after deductions

Device: Android mid-range phone (Samsung A-series); uses GCash daily

Apps used: GCash, Maya, Shopee, TikTok, Facebook, Spotify

Financial tools: Screenshots of payslip, mental math, occasional Excel note

Goals

- Feel in control of money — not constantly surprised by a zero balance
- Save for a trip, emergency fund, or condo downpayment
- Stop borrowing from family or colleagues before payday
- Understand their government contributions (SSS, Pag-IBIG) and what they're getting for it

Frustrations

- Payslip shows gross and net but doesn't explain what changed month to month
- No app speaks 'Filipino' — most budgeting tools are US-centric (YNAB, Mint)
- Feels overwhelmed when opening any finance app — too many features, too much manual entry
- Family remittance obligations make standard budgeting frameworks irrelevant

Where They Hang Out Online

- r/phinvest (768K members) — investment and personal finance discussions
- r/adultingph (534K members) — life transitions, independent living, money stress
- r/phcareers (598K members) — salary benchmarks, job transitions
- r/PanganaySupportGroup — eldest child financial burden discussions
- Facebook groups: 'Peso Sense', 'Frugal Living Philippines', company FB groups

What They Already Pay For

- GCash GSave / Maya savings accounts (low-friction, familiar)
- Netflix, Spotify — willing to pay ₱99–299/month for perceived value
- Online courses on financial literacy (Udemy PH, YouTube memberships)

The services sector accounts for 83.4% of total NCR employment as of 2025, anchoring the professional workforce this app targets (Philippine Information Agency, 2026).

NCR total employed workforce: 6.33 million as of 2025. Assuming ~30% are aged 25–35, the core addressable user base is approximately 1.9 million (PSA via PIA, 2026).

STEP 03 SIZE THE MARKET

The opportunity is large enough to build a sustainable business

Market Sizing — TAM / SAM / SOM

TAM (Total Addressable Market): All financially underserved working-age Filipinos. Philippines has ~45M employed workers (PSA, 2024). At even ₱99/month average revenue, TAM = ₱4.5B/month or ~₱54B/year (~\$950M USD).

SAM (Serviceable Addressable Market): NCR + major urban centers (CALABARZON, Cebu, Davao) — roughly 38.6% of national population (morethandigital.info, 2024). Salaried professionals aged 22–40 with smartphones: ~8–10M people. At ₱99/month = ~₱800M–₱1B/month (~\$18M–\$22M USD/year).

SOM (Serviceable Obtainable Market): NCR professionals aged 25–35, smartphone-native, already using GCash/Maya: ~1.5–2M. Realistic 3-year penetration at 2% = 30,000–40,000 paid users. At ₱149/month = ₱4.5M–₱6M/month (~\$80K–\$105K USD/month MRR).

Revenue Tiers

- \$1M ARR: ~5,600 paid users at ₱149/month — achievable within 18 months with strong community seeding
- \$10M ARR: ~56,000 paid users — requires B2B pivot (HR partnerships, employer-sponsored financial wellness)
- \$100M ARR: Full-stack Filipino fintech play — requires banking integration, lending, insurance upsell

Digital payments now account for 57.4% of retail transactions in the Philippines as of 2024, confirming the digital financial infrastructure is in place for a mobile-first app (Bangko Sentral ng Pilipinas via Radar PH, 2025).

STEP 04 MAP THE COMPETITION

No existing solution fully solves the problem — there's a gap worth filling

Competitor Landscape

Competitor / Substitute	What They Do Well	Where They Fall Short	Why Users Would Switch
GCash (built-in spend tracker)	Embedded in daily PH transactions; no new app needed	Only tracks GCash transactions — blind to Chinabank, BPI, cash spending	Complete financial picture across all accounts + AI insight
YNAB (You Need A Budget)	Robust zero-based budgeting methodology	Foreign UX; no SSS/Pag-IBIG/PhilHealth context; subscription ₱1,000+/mo	Filipino-first design; free or low-cost; knows local deductions
Money Manager / Spendee	Manual expense tracker; peso-denominated	Manual-entry only; no payslip parsing; no AI coaching	Upload payslip → instant breakdown; no manual entry
Excel / Google Sheets	Full control; free	Requires financial discipline and spreadsheet skill; no AI nudge	Zero setup; smart defaults; AI recommends next step
Moneygment	SSS/Pag-IBIG/PhilHealth payment reminders	Not a budgeting or financial planning tool; narrow scope	Full budget + contribution tracking in one AI-powered view

The Gap

No existing tool in the Philippine market combines: (1) payslip parsing with Philippine-specific deduction intelligence, (2) AI-generated personalized budget allocation, and (3) actionable savings recommendations — all in a Filipino-contextualized, low-friction mobile interface. This is the white space.

GCash's built-in spending tracker only covers GCash transactions, leaving the majority of users' financial activity (bank transfers, cash, other e-wallets) untracked (The Thrifty Pinay, 2025).
Moneygment covers SSS/Pag-IBIG/PhilHealth payment reminders but is not a budgeting or financial planning tool (The Thrifty Pinay, 2025).

STEP 05 DEFINE YOUR EDGE

You have a specific reason why you — and this timing — can win

Unfair Advantages

- Domain depth: Builder has Chemical Engineering + Materials Data Analyst background with hands-on payslip/SAP experience — understands structured data extraction from semi-structured documents better than a typical indie developer.
- Filipino-first by default: SSS, PhilHealth, Pag-IBIG contribution tables, 13th month pay, holiday pay differentials — all baked in from Day 1, not bolted on later.
- AI timing: Claude/OpenAI document parsing capabilities matured in 2024–2025, making payslip OCR + structured extraction genuinely reliable and cheap for the first time. This window didn't exist 3 years ago.
- Community distribution: r/phinvest, r/adulthood, and Facebook finance groups are organic channels for a tool that directly solves a pain point discussed daily in those communities.
- Remittance awareness: No competitor explicitly budgets for provincial remittances as a fixed line item — a near-universal obligation for NCR professionals that invalidates Western budgeting frameworks.

Why Now

BSP's push for financial inclusion, the post-pandemic awareness of financial fragility, and the mainstream adoption of GCash/Maya as financial infrastructure have created a population that is digitally ready but still behaviorally underserved. AI document parsing costs dropped by ~90% between 2022 and 2025, making a previously expensive feature now trivially affordable at startup scale.

The Bangko Sentral ng Pilipinas (BSP) and various institutions are actively working to improve financial literacy, recognizing that the lack of basic financial knowledge limits opportunities for growth (Inquire Philippines, 2025).

STEP 06 DESIGN A CHEAP TEST

People will change their behavior — and pay — for a solution to this problem

3 Low-Cost Experiments

Experiment	Assumption Tested	Duration	Cost	Positive Result
Post in r/phinvest + r/adulthood: 'Would you use an app that reads your payslip and tells you where your money goes?'	Pain is real and users will self-identify	3 days	Free	50+ upvotes or 20+ comments expressing interest
Create a Notion or Google Form mock of the payslip analyzer; share in 3 Facebook finance groups	Users will engage with a non-functioning prototype	1 week	Free	30+ form submissions with email opt-in
Offer 5 free 'payslip analysis' sessions via Messenger — manually do it with a spreadsheet behind the scenes	Users will share payslip data if they trust the value proposition	2 weeks	₱0 (time only)	3 of 5 users say they'd pay ₱99–199/month for this

Success Threshold

If at least 2 of 3 experiments return positive results within 3 weeks, the idea has sufficient demand signal to proceed to Phase 2 (spec and architecture). A single strong result from Experiment 3 (willingness to share actual payslip data) is sufficient on its own, as it demonstrates the highest-risk assumption — data trust — is surmountable.

STEP 07 STRESS-TEST THE IDEA

The risks are known and manageable — or reveal a fatal flaw before you invest

VC Skeptic Mode: 5 Reasons This Will Fail

Objection 1 — Privacy kills adoption

Filipinos will not share their payslip with an app they don't trust. One data breach and it's over. Trust is built over years; you have none.

What would change my mind: A privacy-first architecture (client-side parsing, no payslip data stored on servers) demonstrated clearly in the onboarding flow, plus 500+ early adopters who shared data voluntarily within 30 days of launch.

Objection 2 — GCash / Maya will just build this feature

These platforms already have transaction data, millions of users, and engineering teams. They can ship a budget analyzer feature faster than you can acquire your first 1,000 users.

What would change my mind: Evidence that GCash has not shipped payslip parsing + AI budget coaching within 6 months of your launch, despite having the data and incentive.

Objection 3 — Behavior change is the real problem, not tools

Filipinos already know budgeting apps exist. The barrier isn't access to tools — it's the discipline to use them. Another app doesn't fix a behavioral problem.

What would change my mind: Week-4 retention above 40% in the first cohort, indicating users return and actually change behavior rather than just downloading and abandoning.

Objection 4 — Monetization is unclear

Filipino users are extremely price-sensitive. Freemium works only if the free tier is useful enough to drive word-of-mouth but not so useful it kills conversion. Finding that line is hard.

What would change my mind: 5% of free users converting to a ₱99–149/month paid tier within 60 days, validated through the Experiment 3 fake-door test.

Objection 5 — Payslip formats vary wildly

Every company has a different payslip layout — PDF, printed and photographed, HTML portal screenshot, Excel export. OCR accuracy on low-quality mobile photos of printed payslips is notoriously poor. Your 'core feature' may fail for 40% of users at launch.

What would change my mind: OCR + parsing accuracy above 85% across 50 real, diverse payslip samples before launch, with a graceful manual-entry fallback that users actually complete.

Overall Stress-Test Verdict

None of these objections are fatal if the team addresses privacy architecture first, validates retention behavior (not just downloads), and builds a robust parsing fallback. The strongest risk is Objection 1 (privacy trust) — this must be solved at the design level before a single line of code is written.

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